

SpaceX: To the Moon, or Back to Earth?

A Retail Investor's Flip-or-Hold Decision

Teaching Deck

HBS-style case | Event date: June 19, 2026

The decision at hand

- **Protagonist:** Maya Chen, individual (retail) investor
- **Position:** 50 SPCX shares allocated at the \$135 IPO price (\$6,750)
- **Date:** Friday, June 19, 2026 — end of the first week of trading
- **Current price:** \$185.00 (+37% in one week; peaked at \$225.64 on Mon Jun 15)
- **The choice:** sell now and lock in the gain, or hold?

The company

Two pillars:

- **Launch & transport:** Falcon 9, Falcon Heavy, Starship (in dev)
- **Starlink:** satellite internet, 10M subs / 160 countries

Founded 2002 by Elon Musk.

- Dominant orbital launch provider
- Private until the 2026 IPO
- Musk retains commanding voting control

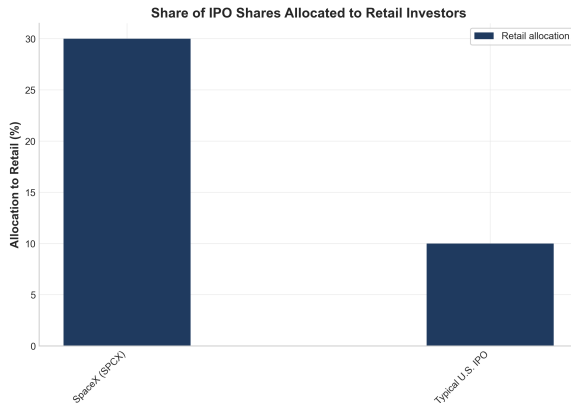
The offering

The largest IPO in history

- **Offer price:** \$135 / share
- **Shares:** 555.6M **Raised:** \$75B (record)
- **Valuation at offer:** \$1.75T
- **Listing:** Nasdaq: SPCX **Priced:** Jun 11, 2026

Unusual feature: 30% of the deal allocated to retail (3x typical), via Robinhood, Fidelity, E*TRADE, Schwab, SoFi.

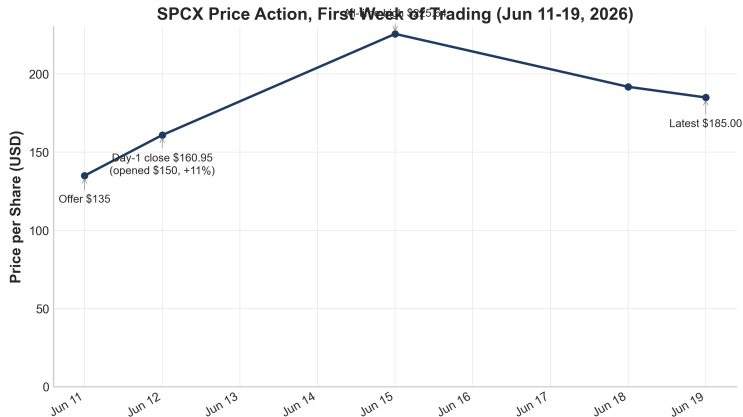
Exhibit: retail allocation, SPCX vs typical IPO



Source: Reuters (Mar 2026); CNBC (May 2026); Robinhood IPO Access.

The first week

Exhibit: SPCX first-week price action



Source: Investing.com, TradingView, CBS News, NBC News, CNN Markets. Points combine offer price, selected closes, and the intraday ATH.

A week of extremes

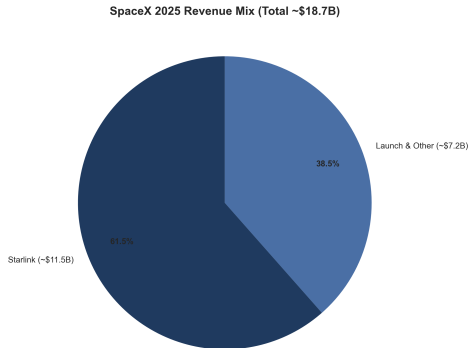
- **Jun 12 (day 1):** opened \$150 (+11%), closed \$160.95 (+19%)
- **Jun 15 (Mon):** intraday high \$225.64 — market cap briefly > \$2.3T
- **Jun 18–19:** drifted to \$191.82, then \$185.00
- **Down 18% from the peak by Friday**

Bulls: healthy profit-taking after a hot debut.

Bears: the euphoria is already fading.

The numbers

Exhibit: 2025 revenue mix



Source: SpaceX S-1 (SEC); Morningstar; Sacra. Starlink is the *sole* profitable segment.

The valuation tension

- Consolidated 2025 revenue: \$18.7B (+33% YoY)
- **Starlink:** \$11.5B, profitable, high-margin, 60% of revenue
- **Everything else** (launch, Starship, Mars): loss-making, capex-heavy
- Consolidated result: GAAP net loss (\$4.9B); adj. EBITDA positive (\$6.6B)

At \$2T market cap / \$18.7B revenue $\Rightarrow$ **100x+ revenue multiple.**

Defensible only if you believe Starlink gets very large — and you credit Starship for free.

Risk factors

What the S-1 flags

- **Key-person risk:** Musk named explicitly; runs multiple public companies
- **Founder control:** commanding voting power; public float has little say
- **Starlink dependence:** sole profitable segment funds the rest
- **Declining ARPU + competition** as Starlink pushes beyond rural markets
- **Starship:** large capex, uncertain timeline, no near-term Mars revenue
- **Related-party deals:** large disclosed purchases from Tesla

The decision

Sell (flip)

- +37% in a week, before the weekend
- Lock in a real return; sleep through the volatility
- **But:** short-term capital gains tax on the profit
- **But:** 60-day lockout from future IPO allocations under IPO Access
- Miss further upside if SPCX keeps climbing

- Starlink: fast-growing, cash-generative, wide moat
- Reusable launch: no real competitor
- Starship / Mars: free option, unbounded upside
- **But:** 100x+ revenue; consolidative losses
- **But:** key-person + governance risk; already gave back 18% from the peak
- “Many have regretted selling a Musk company early.”

Sell or hold — and why?

Discussion

Discussion questions

1. Should Chen sell at \$185 or hold? What single fact would change her mind?
2. What must be true for 100x+ revenue to be defensible?
3. Value Starlink standalone — what is “the rest of SpaceX” implicitly worth?
4. How do you price key-person and founder-control risk the prospectus itself flags?
5. How much of her reasoning is about SpaceX — and how much is social proof?

Teaching plan (80 min)

- **Opening (5):** cold-call the decision, force a number
- **Background (15):** the company, the deal, the price path
- **Valuation (25):** standalone Starlink + the option value of Starship
- **Risk & governance (15):** S-1 risks, founder control, behavior
- **Frictions (10):** after-tax, after-penalty payoff to flipping
- **Close (10):** re-vote; “what is SpaceX worth?” $\neq$ “what should Maya do?”

Sources

- SpaceX S-1 registration statement (SEC)
- Reuters, CNBC, NYT, TechCrunch, CBS News, NBC News (Jun 2026)
- Morningstar, Sacra, Trending Topics EU — S-1 analysis
- Investing.com, TradingView, CNN Markets — price data
- Full source list in the case exhibits